# Groupp Assignment – Social Enterprise

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| Primary Objectives | 699 |
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# *Primary Objectives :*

The main objective of this social enterprise is to give back to people in need, it's our responsibility as humans who are blessed to support the people who are deprived of basic necessities. Starting a social enterprise, creates a positive atmosphere in the community and it has solely one objective; to help the people in need. There is no better feeling when you’re a credit to the community. The social enterprise we have decided to do is a coffee shop-style business in Dublin. We chose this type of business for a plethora of reasons that benefit the local and wider community. It's work that’s done from the heart it evokes gratitude. It is not like a commercial business where your aim is profit maximisation by competition, there’s a personal and conscious element to this type of business. This type of work is to fill the gaps and provides dedicated resources to help the most vulnerable. We felt that having an element of simplicity in our social enterprise would open us up to a more universal consumer base, who are going to be the driving force of our philanthropic efforts.

It is essential to notice that social enterprises work in the formation of a traditional business, and on the surface, they could appear to consider, feel, and function like every other traditional business. It is in the details of our enterprise where the real social benefits will be felt. To start, the main type of cause our enterprise will be donating its profits to will be homeless charities and causes to tackle the homelessness issue in Ireland. We felt this would be perfect for our coffee shop as homeless is one of the biggest issues in Ireland, especially in Dublin nowadays. We plan to sell a variety of products in our shop such as; coffee, sandwiches, pastries, drinks, etc. A core part of our business is that we do not plan to have any stock at the end of the month or week. Our business will operate with a strict no-wastage policy. Any leftover stock will be donated to charities and local food drives. This will aid homeless people as well as people in the local community on the brink of poverty/homeless. Social enterprises are organisations that operate mostly to enhance the lives of communities. Their fundamental purpose is to accomplish a social, societal, or environmental influence.

Aside from these social efforts at the forefront of our business, there are many extra benefits when purchasing from our business. We plan to have our shop operate as a social area for anyone in the local community, sort of like a community centre but just somewhere to for people to go. Our coffee is going to be purchased from a Fairtrade partner. While it's very important to prioritise our own societal problems, extending our efforts to those worse off in other developing countries is always something we will try to implement in our business. If we want to price our coffee fairly to fund our social enterprise, surely the struggling coffee farmer somewhere else across the globe deserves a fair payment.

How our business is run and our ethics are going to be at the forefront of the business. The social aspect of this enterprise is to raise awareness for the people and genuinely help out. Our shop will act as a safe space for people of any gender, race, religion, nationality or simply anyone regardless of what situation in life they are in. All staff members will not only be trained on how to work in our business but also in inclusivity and hospitality towards every customer that walks through our doors. This will add a personal touch to our enterprise, which won't be common in the typical commercial coffee shop. People, who maybe feel alone, can use our shop as a hub for social interaction in the community.

In essence, this social enterprise strives to juggle many primary social objectives. From how we decide to run our business financially, to how we operate the business on a day-to-day basis, Everyone in the local community, and Dublin as a whole, will hopefully benefit from our efforts in one way or another.

# *Commercial Activities :*

The commercial side of the business relates to selling goods such as coffee, sandwiches, drinks and pastries, and using their waste to be donated to those that are less fortunate in the community. Whilst the social aspects of the business are vital to a social enterprise, also gaining the necessary funds to remain in business is just as important. The long-term and short-term goals of the business are to become self-sufficient, and any profits made must be donated but also invested back into the business to prolong our ability to provide high-quality food and drinks at a low cost which will help us to maintain our social efforts for the years to come. Coffee and sandwiches will be the two main sellers of the business, with other products also being on offer. Those that are leftovers will be distributed and donated to homeless charities and food drives locally. To attain this level of self-sufficiency there are many commercial activities that need to be analysed. To begin with, the location of the business is vitally important. The coffee shop must be visible and ideally in a location with a large amount of footfall. We came across a property in Rialto, Dublin which will be the perfect location to operate out of. Rialto is a busy area in the country, relatively close to the city centre, with excellent public transport links such as multiple bus routes and a stop on the Luas Red Line.

Food industry-grade facilities and equipment are required and can carry a considerable initial cost, but quality equipment will save money in the long run. Using funding from the Student Social Enterprise Fund, many of the initial and larger costs associated with start-ups will be covered by this. We must carefully consider the design and layout of the shop and how each element will affect the atmosphere of the shop. Also, it is necessary to consider the range of uses intended for the coffee shop. In terms of labour and staffing, when providing food services staff must be trained on how to handle, store and use the food whilst following many of Ireland's strict food regulations (FSA Ireland, 2019). Appropriately trained floor and kitchen staff are also a necessity so it may be an option to have a separate training day for workers to allow them to learn the necessary skills to carry out the work. Insurance is something that has to be looked at. Due to the business having a social enterprise background, there will be an increased insurance risk and therefore an increased associated cost. Public liability insurance will have to be the main source of insurance for the business as many members of the public, both volunteers and consumers, will be entering the business regularly, increasing the chances of accidents on the premises.

In terms of the operation of the business, there are a few aspects that we must view. We have already decided that coffee, tea and sandwiches are the most effective and affordable goods to provide and are universally appealing. Stock control and purchasing are vital elements in the operation of the business. Having an effective stock control method will help keep track of the amounts of "closing stock" that

will be donated. I believe that the ‘Just In Time’ method of stock control is the most effective principle of stock control for the business. The just-in-time inventory system is a management strategy that aligns raw-material orders from suppliers directly with production schedules (Banton, 2023). However, to make this system work a good relationship is required with suppliers. When choosing a supplier there are some questions to be posed. A good supplier must provide reliability for the simple reason if they let us down, we in turn let our customers down and furthermore the local communities and charities. The quality of coffee and food supplied must be of high quality and ethically sourced. Value for money in terms of receiving high-quality goods for the best price is unequivocally important. Service and communication are vitally important between our supplier and our enterprise. We should be informed of changes and provide information about our needs to our suppliers. The suppliers we are currently looking at to provide coffee, milk and sandwiches to our enterprise are wholesalers such as Musgraves, but this is subject to change upon further research. We have made it clear that everything we are provided with must be of a fair-trade quality thus ensuring the social image of the business. We have also stated that any product provided must be from a local supplier with a fair value provided. Of course, coffee beans cannot be sourced locally but we have been promised coffee beans sourced from a farm in Colombia with farmers being provided with a fair price for their produce. The profits made from the sale of these items will be donated to local charities as we feel it is unjust to take any percentage of profits that could be placed in the hands of the less fortunate.

# *Social and Commercial Interactions :*

## Objectives:

Our Social Enterprise focuses on two main objectives. Our commercial objective is to generate profits from the coffee shop. Our social objective is to create a positive impact on society through many endeavours, mainly aiming to help the homeless.

Our coffee shop will source the majority of its food and drink items from credible fair trade sources. Giving a fair amount to the producer of these high-quality goods means that a higher standard of living can be achieved by these individuals. Our business will be associated with being ‘green’ and a valued contributor to society with fair trade and our planned donations to vulnerable groups such as the homeless.

## Interactions:

Both our commercial and social objectives rely on each other to succeed. If our business is no longer profitable, we will be unable to fulfil our social objectives. To be profitable our business must charge a higher price to account for donations and the higher costs of buying fair trade, high-quality goods. In contrast, if our social objectives aren't displayed accurately and the focus of benefitting society isn't being met then we will lose customers as they will no longer be willing to pay a higher price for our goods.

## Conflicts:

Conflicts may arise between our objectives, and these can affect our business image. One such conflict is that of raising prices to cover costs. The raising of prices is necessary for business to combat external factors such as inflation and increases in rental costs. Consumers may be put off by any price increase as our coffee will already be more expensive than other competitors (Ceresa and Buscaglia, 2017). In addition to this, they may begin to believe that our social objectives are not prioritised and that our business is profit-driven. To combat this, we must find ways of cutting unnecessary costs within the business, such as using energy-efficient equipment and recycling items (Onuma et al., 2020). An effort made by staff to offer special deals and offers to customers will also allow us to keep customers and be able to raise prices at the same time.

In order to meet our social objective of donating waste food and drink to vulnerable groups, and selling high-quality produce we must start with high prices. In the beginning, it will be hard to attract customers as they will be discouraged by these prices. To combat this, we must use various marketing strategies to ensure that our business is sustainable and to make our objectives widely known. With the use of social media platforms such as Instagram and Facebook, we can reach many new customers (Si, 2015). Paying for advertisements on these platforms can give our business the cutting edge in meeting both our social and commercial objectives if we chose to go with this method.

Our goal of donating food waste to vulnerable groups could also be an issue as many of our goods are perishable. Items such as milk and creams cannot be donated when close to expiring. In order to counter this our business can vow to donate a certain amount of these perishable goods with every order placed. This can only be succeeded with close monitoring of stock levels and minimising waste in these categories. Our image in society will be positive as our business will be viewed as 'green' and a sufficient member in the combat against homelessness and poverty.

Other conflicts that can also arise between our social and commercial aspects are external factors such as droughts, floods, wars, etc. The Fairtrade-sourced produce that we use could face shortages. This leads to a negative effect on both our commercial and social objectives.

### Case Study:

Too Good To Go is a social enterprise that has a relatively similar social objective to our business. They sell unsold food from restaurants and shops at a discount, in order to benefit poorer people and families. This greatly reduces starvation and poverty. Too Good To Go sustains its business financially by gaining revenue from its sales and charging businesses to use its platform to help vulnerable people (Too Good To Go, 2023).

## *Budgets from April – September :*

### Cash Budget:

| Monthly Cash Budget | | | | | | |
|---|---|---|---|---|---|---|
| | April | May | June | July | August | September |
| *Cash Receipts* | | | | | | |
| Coffee Sales | € 8,000.00 | € 10,560.00 | € 12,480.00 | € 12,480.00 | € 11,360.00 | € 10,560.00 |
| Sandwich Sales | € 2,750.00 | € 3,080.00 | € 3,740.00 | € 3,740.00 | € 3,410.00 | € 3,080.00 |
| Confectionary Sales | € 3,250.00 | € 4,290.00 | € 5,070.00 | € 5,070.00 | € 4,615.00 | € 4,290.00 |
| Soft Drink Sales | € 1,750.00 | € 1,875.00 | € 2,125.00 | € 2,125.00 | € 2,125.00 | € 1,500.00 |
| Customer €1 Donations | € 367.20 | € 484.70 | € 572.83 | € 572.83 | € 521.42 | € 484.70 |
| Student Social Enterprise Fund | € 10,000.00 | € - | € - | € - | € - | € - |
| Community Enhancement Programme | € 10,000.00 | € - | € - | € - | € - | € - |
| **Total Cash Inflow** | € 36,117.20 | € 20,289.70 | € 23,987.83 | € 23,987.83 | € 22,031.42 | € 19,914.70 |
| | | | | | | |
| *Cash Payments* | | | | | | |
| Purchases | | | | | | |
| Coffee Materials | € 656.04 | € 865.98 | € 1,023.43 | € 1,023.43 | € 931.58 | € 865.98 |
| Sandwich Materials | € 232.50 | € 260.40 | € 316.20 | € 316.20 | € 288.30 | € 260.40 |
| Bottled Drinks | € 507.50 | € 543.75 | € 616.25 | € 616.25 | € 616.25 | € 435.00 |
| Confectionary Items | € 510.00 | € 673.20 | € 795.60 | € 795.60 | € 724.20 | € 673.20 |
| Wages | € 6,804.80 | € 6,804.80 | € 6,804.80 | € 6,804.80 | € 6,804.80 | € 6,804.80 |
| Rent | € 1,750.00 | € 1,750.00 | € 1,750.00 | € 1,750.00 | € 1,750.00 | € 1,750.00 |
| Light & Heat | € - | € 2,347.00 | € - | € 2,347.00 | € - | € 2,347.00 |
| Equipment Rental | € 428.00 | € 428.00 | € 428.00 | € 428.00 | € 428.00 | € 428.00 |
| Purchase of Shop Till | € 380.00 | € - | € - | € - | € - | € - |
| Purchase of Shop Fridge | € 629.99 | € - | € - | € - | € - | € - |
| Purchase of Shop Counter / Display | € 5,951.00 | € - | € - | € - | € - | € - |
| Purchase of Furniture | € 556.00 | € - | € - | € - | € - | € - |
| Premises Refubishments | € 500.00 | € - | € 500.00 | € - | € - | € - |
| Insurance | € 1,105.00 | € 1,105.00 | € 1,105.00 | € 1,105.00 | € 1,105.00 | € 1,105.00 |
| VAT | € 2,945.12 | € 3,703.37 | € 4,378.41 | € 4,378.41 | € 4,022.20 | € 3,633.25 |
| **Total Cash Outflow** | € 22,955.96 | € 18,481.50 | € 17,717.69 | € 19,564.69 | € 16,670.33 | € 18,302.63 |
| | | | | | | |
| Net Cash | € 13,161.24 | € 1,808.20 | € 6,270.14 | € 4,423.14 | € 5,361.10 | € 1,612.07 |
| Opening Cash | € - | € 13,161.24 | € 14,969.45 | € 21,239.58 | € 25,662.72 | € 31,023.82 |
| **Closing Cash** | € 13,161.24 | € 14,969.45 | € 21,239.58 | € 25,662.72 | € 31,023.82 | € 32,635.89 |

## Sales Budget:

| Monthly Sales Budget | | | | | | |
|---|---|---|---|---|---|---|
| | April | May | June | July | August | September |
| *Coffee:* | | | | | | |
| Expected unit sales | 2000 | 2640 | 3120 | 3120 | 2840 | 2640 |
| x Price Per Unit | € 4.00 | € 4.00 | € 4.00 | € 4.00 | € 4.00 | € 4.00 |
| **Total Revenue of Coffee** | € 8,000.00 | € 10,560.00 | € 12,480.00 | € 12,480.00 | € 11,360.00 | € 10,560.00 |
| *Sandwiches:* | | | | | | |
| Expected unit sales | 500 | 560 | 680 | 680 | 620 | 560 |
| x Price Per Unit | € 5.50 | € 5.50 | € 5.50 | € 5.50 | € 5.50 | € 5.50 |
| **Total Revenue for Sandwiches** | € 2,750.00 | € 3,080.00 | € 3,740.00 | € 3,740.00 | € 3,410.00 | € 3,080.00 |
| *Bottled Drinks* | | | | | | |
| Expected unit sales | 700 | 750 | 850 | 850 | 850 | 600 |
| x Price Per Unit | € 2.50 | € 2.50 | € 2.50 | € 2.50 | € 2.50 | € 2.50 |
| **Total Revenue for Bottled Drinks** | € 1,750.00 | € 1,875.00 | € 2,125.00 | € 2,125.00 | € 2,125.00 | € 1,500.00 |
| *Pastries* | | | | | | |
| Expected unit sales | 1000 | 1320 | 1560 | 1560 | 1420 | 1320 |
| x Price Per Unit | € 3.25 | € 3.25 | € 3.25 | € 3.25 | € 3.25 | € 3.25 |
| **Total Revenue for Pastries** | € 3,250.00 | € 4,290.00 | € 5,070.00 | € 5,070.00 | € 4,615.00 | € 4,290.00 |
| **Total Budgeted Sales Revenue** | € 15,750.00 | € 19,805.00 | € 23,415.00 | € 23,415.00 | € 21,510.00 | € 19,430.00 |

## Materials Purchases Budget:

| Monthly Materials Purchases Budget | | | | | | |
|---|---|---|---|---|---|---|
| *Coffee Beans* | April | May | June | July | August | September |
| **Raw Materials Usage Budget** | | | | | | |
| Budgeted Sales Units | 2000 | 2640 | 3120 | 3120 | 2840 | 2640 |
| kg per Unit | 0.01 | 0.01 | 0.01 | 0.01 | 0.01 | 0.01 |
| **Budgeted Material Usage (kg)** | 20 | 26.4 | 31.2 | 31.2 | 28.4 | 26.4 |
| + Closing Stock | 0 | 0 | 0 | 0 | 0 | 0 |
| - Opening Stock | 0 | 0 | 0 | 0 | 0 | 0 |
| **Usage** | 20 | 26.4 | 31.2 | 31.2 | 28.4 | 26.4 |
| | | | | | | |
| **Budgeted Materials Purchases (kg)** | 20 | 26.4 | 31.2 | 31.2 | 28.4 | 26.4 |
| Price per kg | € 2.20 | € 2.20 | € 2.20 | € 2.20 | € 2.20 | € 2.20 |
| **Budgeted Material Purchases (€)** | € 44.00 | € 58.08 | € 68.64 | € 68.64 | € 62.48 | € 58.08 |
| | | | | | | |
| *Coffee Cups* | April | May | June | July | August | September |
| **Raw Materials Usage Budget** | | | | | | |
| Budgeted Sales Units | 2000 | 2640 | 3120 | 3120 | 2840 | 2640 |
| kg per Unit | 0.0094 | 0.0094 | 0.0094 | 0.0094 | 0.0094 | 0.0094 |
| **Budgeted Material Usage (kg)** | 18.8 | 24.816 | 29.328 | 29.328 | 26.696 | 24.816 |
| + Closing Stock | 0 | 0 | 0 | 0 | 0 | 0 |
| - Opening Stock | 0 | 0 | 0 | 0 | 0 | 0 |
| **Usage** | 18.8 | 24.816 | 29.328 | 29.328 | 26.696 | 24.816 |
| | | | | | | |
| **Budgeted Materials Purchases (kg)** | 18.8 | 24.816 | 29.328 | 29.328 | 26.696 | 24.816 |
| Price per kg | € 12.13 | € 12.13 | € 12.13 | € 12.13 | € 12.13 | € 12.13 |
| **Budgeted Material Purchases (€)** | €228.04 | €301.02 | €355.75 | €355.75 | €323.82 | € 301.02 |
| | | | | | | |
| *Coffee Syrups* | April | May | June | July | August | September |
| **Raw Materials Usage Budget** | | | | | | |
| Budgeted Sales Units | 2000 | 2640 | 3120 | 3120 | 2840 | 2640 |
| L per Unit | 0.0051 | 0.0051 | 0.0051 | 0.0051 | 0.0051 | 0.0051 |
| **Budgeted Material Usage (L)** | 10.20 | 13.46 | 15.91 | 15.91 | 14.48 | 13.46 |
| + Closing Stock | 0 | 0 | 0 | 0 | 0 | 0 |
| - Opening Stock | 0 | 0 | 0 | 0 | 0 | 0 |
| **Usage** | 10.20 | 13.46 | 15.91 | 15.91 | 14.48 | 13.46 |
| | | | | | | |
| **Budgeted Materials Purchases (L)** | 10.20 | 13.46 | 15.91 | 15.91 | 14.48 | 13.46 |
| Price per L | € 9.99 | € 9.99 | € 9.99 | € 9.99 | € 9.99 | € 9.99 |
| **Budgeted Material Purchases (€)** | €101.90 | €134.51 | €158.96 | €158.96 | €144.70 | € 134.51 |

| Monthly Materials Purchases Budget | | | | | | |
|---|---|---|---|---|---|---|
| *Coffee Beans* | April | May | June | July | August | September |
| **Raw Materials Usage Budget** | | | | | | |
| Budgeted Sales Units | 2000 | 2640 | 3120 | 3120 | 2840 | 2640 |
| kg per Unit | 0.01 | 0.01 | 0.01 | 0.01 | 0.01 | 0.01 |
| **Budgeted Material Usage (kg)** | 20 | 26.4 | 31.2 | 31.2 | 28.4 | 26.4 |
| + Closing Stock | 0 | 0 | 0 | 0 | 0 | 0 |
| - Opening Stock | 0 | 0 | 0 | 0 | 0 | 0 |
| **Usage** | 20 | 26.4 | 31.2 | 31.2 | 28.4 | 26.4 |
| | | | | | | |
| **Budgeted Materials Purchases (kg)** | 20 | 26.4 | 31.2 | 31.2 | 28.4 | 26.4 |
| Price per kg | € 2.20 | € 2.20 | € 2.20 | € 2.20 | € 2.20 | € 2.20 |
| **Budgeted Material Purchases (€)** | € 44.00 | € 58.08 | € 68.64 | € 68.64 | € 62.48 | € 58.08 |
| | | | | | | |
| *Coffee Cups* | April | May | June | July | August | September |
| **Raw Materials Usage Budget** | | | | | | |
| Budgeted Sales Units | 2000 | 2640 | 3120 | 3120 | 2840 | 2640 |
| kg per Unit | 0.0094 | 0.0094 | 0.0094 | 0.0094 | 0.0094 | 0.0094 |
| **Budgeted Material Usage (kg)** | 18.8 | 24.816 | 29.328 | 29.328 | 26.696 | 24.816 |
| + Closing Stock | 0 | 0 | 0 | 0 | 0 | 0 |
| - Opening Stock | 0 | 0 | 0 | 0 | 0 | 0 |
| **Usage** | 18.8 | 24.816 | 29.328 | 29.328 | 26.696 | 24.816 |
| | | | | | | |
| **Budgeted Materials Purchases (kg)** | 18.8 | 24.816 | 29.328 | 29.328 | 26.696 | 24.816 |
| Price per kg | € 12.13 | € 12.13 | € 12.13 | € 12.13 | € 12.13 | € 12.13 |
| **Budgeted Material Purchases (€)** | €228.04 | €301.02 | €355.75 | €355.75 | €323.82 | € 301.02 |
| | | | | | | |
| *Coffee Syrups* | April | May | June | July | August | September |
| **Raw Materials Usage Budget** | | | | | | |
| Budgeted Sales Units | 2000 | 2640 | 3120 | 3120 | 2840 | 2640 |
| L per Unit | 0.0051 | 0.0051 | 0.0051 | 0.0051 | 0.0051 | 0.0051 |
| **Budgeted Material Usage (L)** | 10.20 | 13.46 | 15.91 | 15.91 | 14.48 | 13.46 |
| + Closing Stock | 0 | 0 | 0 | 0 | 0 | 0 |
| - Opening Stock | 0 | 0 | 0 | 0 | 0 | 0 |
| **Usage** | 10.20 | 13.46 | 15.91 | 15.91 | 14.48 | 13.46 |
| | | | | | | |
| **Budgeted Materials Purchases (L)** | 10.20 | 13.46 | 15.91 | 15.91 | 14.48 | 13.46 |
| Price per L | € 9.99 | € 9.99 | € 9.99 | € 9.99 | € 9.99 | € 9.99 |
| **Budgeted Material Purchases (€)** | €101.90 | €134.51 | €158.96 | €158.96 | €144.70 | € 134.51 |

## Overheads Budget:

| Monthly Overhead Budget | | | | | | |
|---|---|---|---|---|---|---|
| | April | May | June | July | August | September |
| **Variable Overheads** | | | | | | |
| Coffee Beans | € 44.00 | € 58.08 | € 68.64 | € 68.64 | € 62.48 | € 58.08 |
| Coffee Cups | € 220.00 | € 290.40 | € 343.20 | € 343.20 | € 312.40 | € 290.40 |
| Coffee Syrups | € 228.04 | € 301.02 | € 355.75 | € 355.75 | € 323.82 | € 301.02 |
| Milk | € 164.00 | € 216.48 | € 255.84 | € 255.84 | € 232.88 | € 216.48 |
| Sandwich Ingredients | € 232.50 | € 260.40 | € 316.20 | € 316.20 | € 288.30 | € 260.40 |
| Bottled Drinks | € 507.50 | € 543.75 | € 616.25 | € 616.25 | € 616.25 | € 435.00 |
| Pastries | € 510.00 | € 673.20 | € 795.60 | € 795.60 | € 724.20 | € 673.20 |
| **Total Variable Overheads** | € 1,906.04 | € 2,343.33 | € 2,751.48 | € 2,751.48 | € 2,560.33 | € 2,234.58 |
| | | | | | | |
| **Fixed Overheads** | | | | | | |
| Light & Heat | € - | € 2,347.00 | € - | € 2,347.00 | € - | € 2,347.00 |
| Insurance | € 1,105.00 | € 1,105.00 | € 1,105.00 | € 1,105.00 | € 1,105.00 | € 1,105.00 |
| Wages & Salaries | € 6,804.80 | € 6,804.80 | € 6,804.80 | € 6,804.80 | € 6,804.80 | € 6,804.80 |
| Rent | € 1,750.00 | € 1,750.00 | € 1,750.00 | € 1,750.00 | € 1,750.00 | € 1,750.00 |
| Equipment Rental | € 428.00 | € 428.00 | € 428.00 | € 428.00 | € 428.00 | € 428.00 |
| **Total Fixed Overheads** | € 10,087.80 | € 12,434.80 | € 10,087.80 | € 12,434.80 | € 10,087.80 | € 12,434.80 |
| | | | | | | |
| **Total Overheads** | € 11,993.84 | € 14,778.13 | € 12,839.28 | € 15,186.28 | € 12,648.13 | € 14,669.38 |

## Labour Budget:

| Monthly Direct Labour Budget | | | | | | |
|---|---|---|---|---|---|---|
| | April | May | June | July | August | September |
| Units to be Sold | 2500 | 3200 | 3800 | 3800 | 3460 | 3200 |
| Hours Per Unit | 0.22 | 0.17 | 0.14 | 0.14 | 0.16 | 0.17 |
| **Budgeted Hours** | 537.93 | 537.93 | 537.93 | 537.93 | 537.93 | 537.93 |
| Average Rate per Hour (€) | 12.65 | 12.65 | 12.65 | 12.65 | 12.65 | 12.65 |
| **Budgeted Labour Cost** | € 6,804.80 | € 6,804.80 | € 6,804.80 | € 6,804.80 | € 6,804.80 | € 6,804.80 |

# *Comments on Budgets :*

## Cash Budget:

A cash budget allows a business to monitor and control the amount of money coming in and out of the business during a particular period of time; it helps to prepare the business for unexpected expenses, predicts future cash needs and aids in reducing overspending (Indeed, 2023). Our cash budget contains a variety of receipts ranging from; product sales, to donations, to grants. In terms of grants for funding, our enterprise plans on extensively using the €10,000 Student Social Enterprise Fund to help cover some of the larger expenses associated with starting a business. Having cash reserves for unexpected large expenditures

is also where the rest of this fund will be allocated. Our receipts also plan to include the "Community Enhancement Programme", a grant that provides capital to community groups areas across Ireland. Calculating the median amount of funding provided across Dublin, we believe our social enterprise would receive an additional €10,000 in funding. (GOV.IE,2018). This funding will be used to try and invest in business practices that will benefit the local community of Rialto, and also other larger non-profit organisations such as fairtrade. The business could purchase equipment like food processors and compostable cups that will reduce the waste of food and the use of plastic, which in turn will benefit the local community and the environment. Based on research we've also calculated that consumers will donate €1, using a contactless card reader in-store, 18.36% of the time they purchase using that also (CAF Ireland, 2020).

In terms of cash outflows, the cash budget provided showcases the various overheads associated with our operation. Large purchases such as the purchase of various equipment and furniture and premises refurbishments which come with starting a business.

The numerous budgeted cash movements and transactions that take place over the 6 months lead our social enterprise to always generate profit. These profits will be donated to local partner charities in Rialto and all of Dublin which aim to tackle the worrying homelessness problem in Ireland.

## Sales Budget:

The sales budget is essential for a business when determining the type of product to sell and how much of that product they need to produce. It provides the business targets to meet and expectations with regard to selling their products and generating revenue. (E-Finance Management, 2022). Our sales budget is composed of 4 different types of products; Coffee, Sandwiches, Bottled Drinks and Pastries. It aims to keep our product line-up simple but effective for sales, especially with Dublin being ranked the "second-most 'coffee obsessed' capital in the world" (Dennison, 2021). Our budgeted sales units all follow similar projected sales trajectory selling strong but featuring a slight surge in the summer due to increased free time and social activity during that time period. The products are priced fairly and on par with other coffee shop prices nationally, all while having a socially conscious aspect for consumers when purchasing with us.

We chose to leave out a production budget for two reasons. First and foremost, we felt it was pointless as there would be no opening or closing. Both of these would have been zero as all unused and wasted products are donated to local homeless shelters and homeless people in the local area to avoid food waste. Secondly, our sales budget conveys the information that would have been presented in our budget.

## Materials Purchases Budget:

The materials purchases budget provides the business with the number of products they need to sell in order to reach their financial goals. The budget details the cost of the stock at current and future levels and shows whether the business has the correct levels of stock at any time. In addition, a materials purchase budget takes into account future production levels (Chron, 2020). With regard to the social enterprise, the materials purchases budget highlights again the null levels of opening and closing stock and the kilogram per unit of the product required. This is essential to the business as it ensures the least amount of food waste possible.

Coffee:

Coffee sales for this social enterprise are composed of 4 materials. Firstly we plan to source coffee beans which partake in Fairtrade. The beans we have researched on average cost 22c per cup, based on the average of 10g of beans per cup (Fairtrade, 2023). The physical coffee cup will cost 11c per cup (discountcoffee.ie, 2023). Finally, the materials purchases budget has shown us that any syrups or kinds of milk will cost 5c and 8c per cup respectively (Tchibo Coffee, 2021; (McDonnell, 2022). This brought our total cost of a selling cup of coffee to 26c per cup, 1630.77% of a markup.

Other Products:

All of our other products will be sourced from Irish wholesalers and will be prepared/provided in line with the standards of other coffee shops in terms of weight and pricing. For the sandwiches our research has shown us that the average cost of 1kg worth of ingredients for sandwiches is €1.85 (Food Standards Authority, 2013). In terms of pastries, such as croissants and cakes, 1kg would cost approximately €6 (Conaty, 2023). And finally bottled drinks purchased in large quantities works out at €1.45 per litre (Planet Candy, 2023).

## Overheads Budget:

An Overhead Budget can be defined as a budget that is prepared to show all the future costs that are predicted to be incurred during the manufacturing of products and it does not include the direct material costs and the direct labour costs. Overhead budgets are important to businesses because they help the management to understand the limitations of the future expenses that will be incurred. The business can create strategies to control the overhead expenses and allocate the resources available depending on the priority of the expenses (Educba, no date). Our budget shows our Variable and Fixed Overheads. The variable aspect is formed from our monthly materials purchases. Fixed Overheads accumulated the largest proportion of Total Overheads for us. Our social enterprise would be classified as a micro-business, so we researched our overheads on that basis (Experian, 2016). Our rent was researched differently; for the premises in Rialto it is priced at €1750 per month (Daft, 2023).

### Labour Budget:

The labour budget is used to calculate the number of hours that are required to produce the units detailed in the production budget. It is highly useful for a business when predicting the number of employees who are needed to staff the manufacturing area during the budgeting period. A labour budget allows managers to anticipate the hiring needs, overtime and when layoffs are likely to occur within the business (AccountingTools,2022). The labour budget of the social enterprise details the hours per unit and the average rate per hour which is above the minimum wage set in Ireland of €11.30 an hour. Having a variety of highly skilled staff requires different wage rates which is why our average rate per hour is €12.65.

## *Uncertainties Associated :*

Like all businesses, social enterprises face many uncertainties in their lifetime. These uncertainties can bring excessive amounts of worry and stress to the business and its staff. They may also fear that these uncertainties will have a negative effect on the lives of the people they are trying to improve. It is important for social enterprises like us to identify these uncertainties and implement planning and adaptation to reduce risk and ensure long-term stability.

One uncertainty this social enterprise may face is unreliability regarding the market. It is important for a social enterprise to be aware of any market conditions which can affect the business and be readily prepared to deal with them. The social enterprise may face difficulties regarding competitors

(nibusinessinfo, 2000). The main products that we sell are coffee, sandwiches, pastries and bottled drinks. In recent years, there has been a significant increase in the popularity of cafes or places selling coffee. In a study carried out by sleep experts eachnight.com, the number of coffee shops in each European capital was put in comparison with its population. Dublin ranked first out of all European capitals with 441.58 cafes per million people (drinksindustryireland, 2022). This shows that the social enterprise will face a significant amount of competition and may struggle against other businesses.

Social enterprises, like any business, are not safe from changing economic conditions. They can feel the effects of economic downturns. Failing business sales can be seen which can ultimately lead to decreased profits, forcing the business to shut down (Smallbone, Deakins, Kitching and Battisti, 2012). Social enterprises, however, can be resilient and safe during a financial crisis, as a result of secure funding from the government. Despite this, they still can be negatively impacted which was seen during the COVID-19 pandemic. For example, in 2020 60% of German social enterprises reported a loss of revenue (Gigauri, Bogacz-Wojtanowska, 2022).

Social enterprises may face difficulties and uncertainties regarding staff. For a social enterprise to thrive and carry out its goal successfully, hiring and retaining staff with the necessary skills and experience is essential. Staff turnover has been a big problem for Irish companies in recent years. The employee turnover rate was 18% in 2021 which is more than double the 8% seen in 2020. This is the highest the figure has been since the HR barometer was introduced in 2017 (Fingal Chamber 2022). This is a result of employees wanting a higher salary, career progression, and a better work/life balance (Brennan, 2022). Our social enterprise may have trouble in the recruiting and retention of well-equipped and highly motivated staff. The uncertainty faced regarding staff could bring unwelcomed stress and trouble for the company which is not needed for the enterprise to succeed.

The final uncertainty that the social enterprise may face is the acquiring of resources in order to make the products. The main products we sell are coffee, sandwiches, pastries and bottled drinks. Many materials are needed to make these products and keep them at a high standard. Problems such as natural disasters, supplier issues, or increasing costs of materials will have a considerable impact on business activities. We will be looking to source our goods from high-quality, fairtrade sources. Doing so may lead to increased costs, forcing the business to charge higher prices. Natural disasters can have a negative impact on the supply of coffee beans, which are essential to our operation. The most impactful disasters are floods caused by hurricanes. These natural disasters are becoming more common, and it is unpredictable when they may strike. 2021 saw crops in Brazil, the number one coffee-producing country in the world, become severely affected by droughts and excessive rainfall. This had a considerable impact on coffee bean growth (Walker, 2022).

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